The Sales Process in SAP

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Welcome to our hands-on SAP exercise designed to guide you through the fundamental processes of sales and distribution within the SAP system. In this exercise, you'll gain practical experience in creating an inquiry, generating a quotation, and finally, establishing a sales order. These skills are crucial for managing customer requests and sales transactions efficiently in a real-world business environment. This exercise offers an introduction to the SAP Sales and Distribution (SD) module, focusing on real-world application in a business context. Prepare to engage with the SAP system, enhancing your proficiency in managing sales inquiries, quotations, and orders effectively.

Scenario Overview

Client: Philly Bikes
Objective: Respond to a customer request for prices on bicycle models

Exercise Details

1. **Creating an Inquiry**

Philly Bikes, a prospective customer, has expressed interest in selling two of our bicycle models. They have requested pricing information. Your first task is to create an inquiry in the SAP system.

> **What is an Inquiry?**
> *An inquiry in SAP is a non-binding customer request for information. It can pertain to materials or services, pricing conditions, and delivery dates. This initial step is critical in responding to Philly Bikes' needs without committing to a sale.*

2. **Generating a Quotation**

After the inquiry, you will draft a quotation. This document provides Philly Bikes with the proposed prices for the requested bicycle models, along with other relevant sales terms and conditions.

3. **Establishing a Sales Order**

If Philly Bikes accepts the quotation, the next step will be to create a sales order. This is a formal agreement that initiates the process of fulfilling the customer's order, including product delivery and invoicing.

Learning Objectives

- Understand the sales cycle in SAP from inquiry to sales order.
- Learn to navigate and use SAP for creating customer-centric documents.
- Develop skills in responding to customer requests and managing sales transactions.

This exercise consists of three major steps. For general instructions, please refer to **Completing SAP Exercises (https://canvas.csuchico.edu/courses/53168/assignments/860282)** .

For logging into SAP please refer to **Logging into SAP (https://canvas.csuchico.edu/courses/53168/assignments/860316)** .

IMPORTANT: Several times in the exercise, you will be asked to enter **your 3-digit ID number**. This is the numeric portion of your SAP login ID (following "learn-"). This number is unique for YOU. To receive credit for the assignment, you MUST use this number only. DO NOT use the example numbers used in the video demonstrations or where visible in the screen captures.

YOUR SAP login ID is NOT 155--that is the client (company) code for ALL students. **DO NOT ENTER 155 when asked for your SAP login ID!!!**

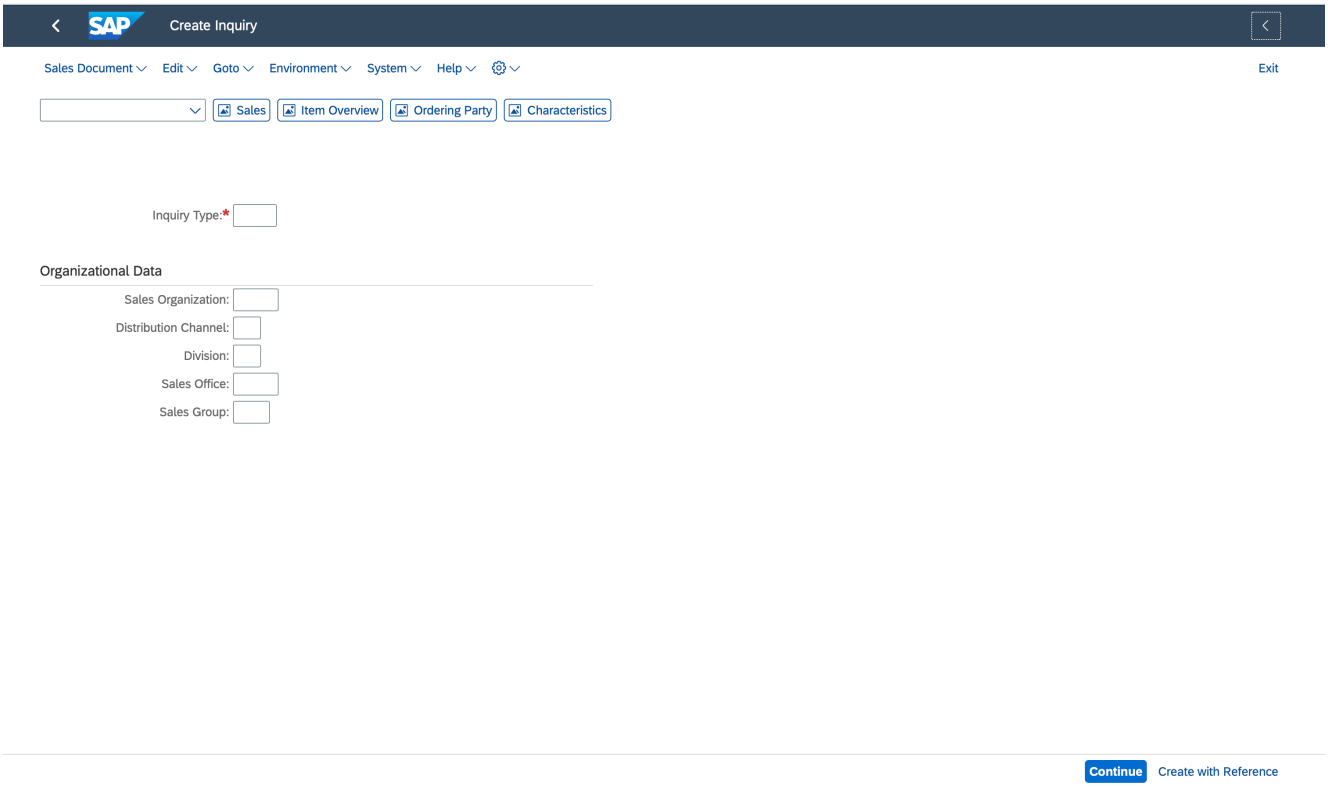
1: Create Customer Inquiry

Step 1.1

To create this inquiry, follow the menu path:

SAP Menu ► Logistics ► Sales and Distribution ► Sales ► Inquiry ► Create

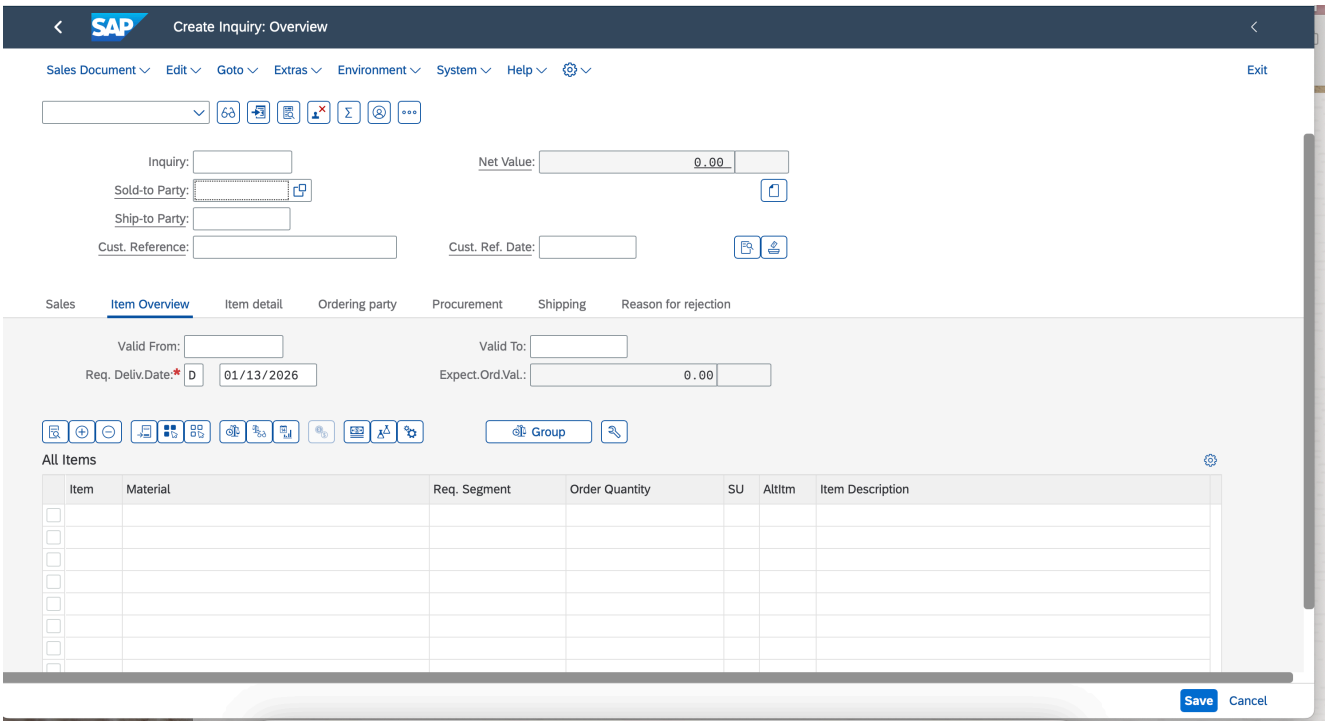
This will produce the following screen:



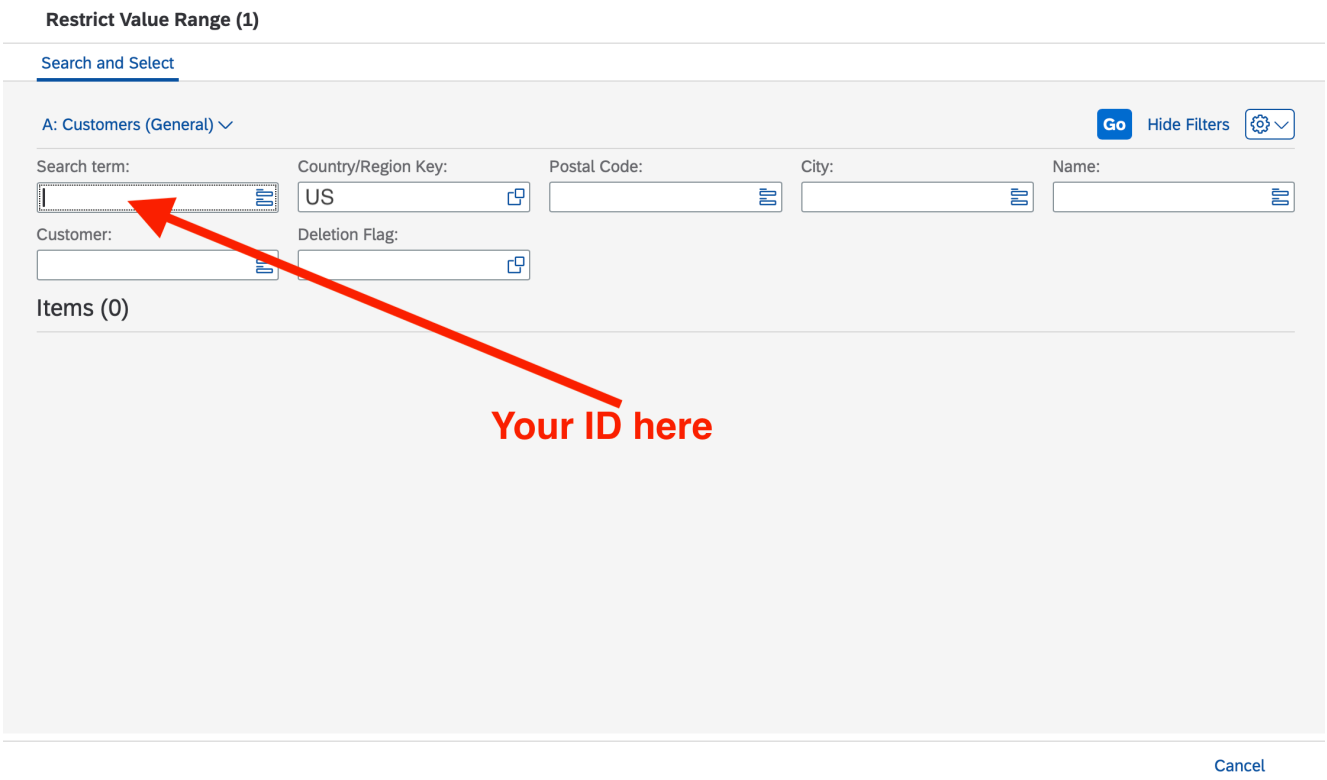
Enter the following information: **IN** for Inquiry Type, **UE00** for Sales Organization, **WH** for Distribution Channel and **BI** for Division. Then click on **Continue**.

Step 1.2

This will produce the following screen:



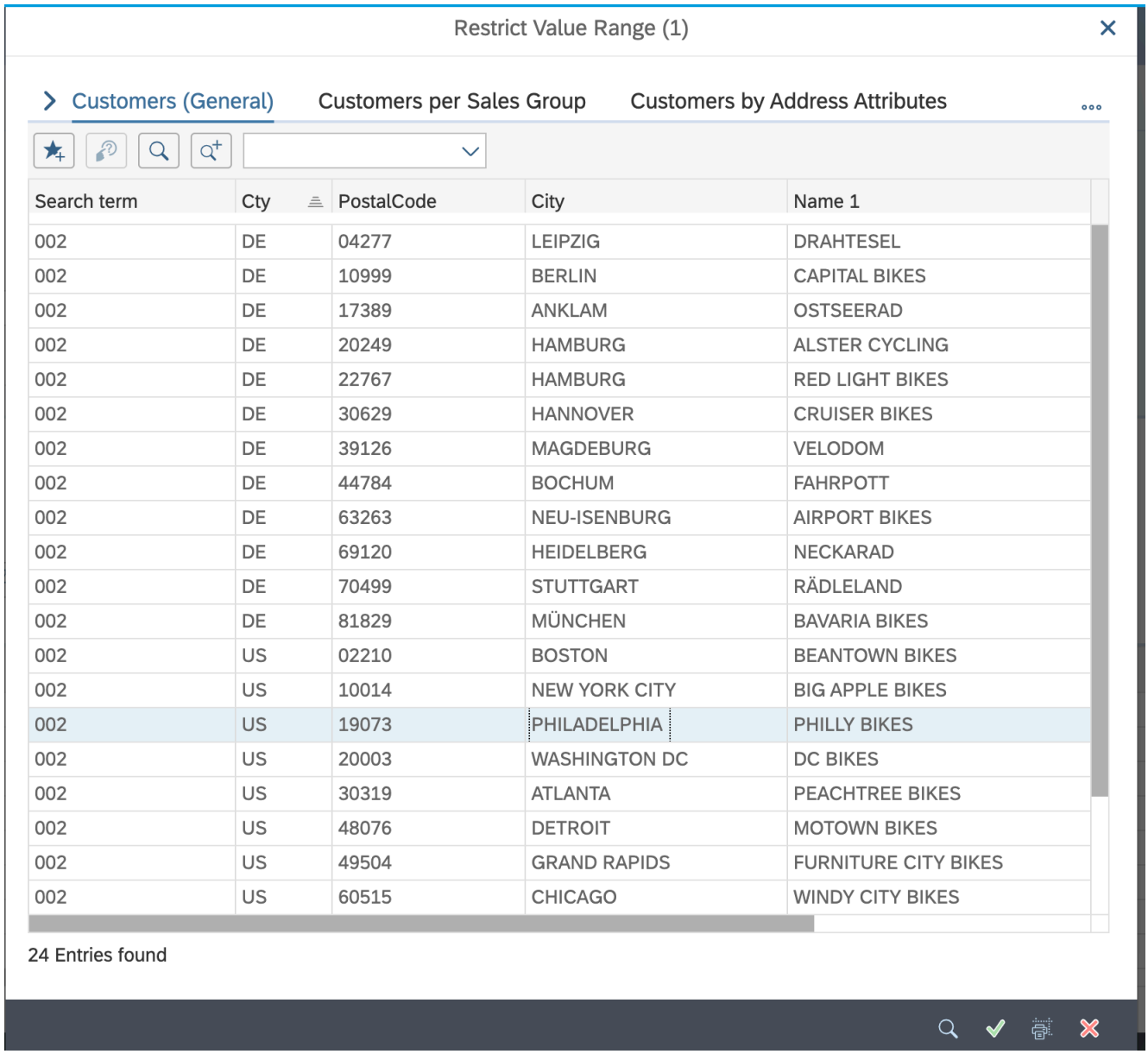
Click on the search icon to the right of the Sold-To Party field. This will bring up the following search dialog:



You should be on the Customers (general) tab. Enter **your 3-digit ID number** for search term and **US** for Country. Then, click on Go.

Step 1.3

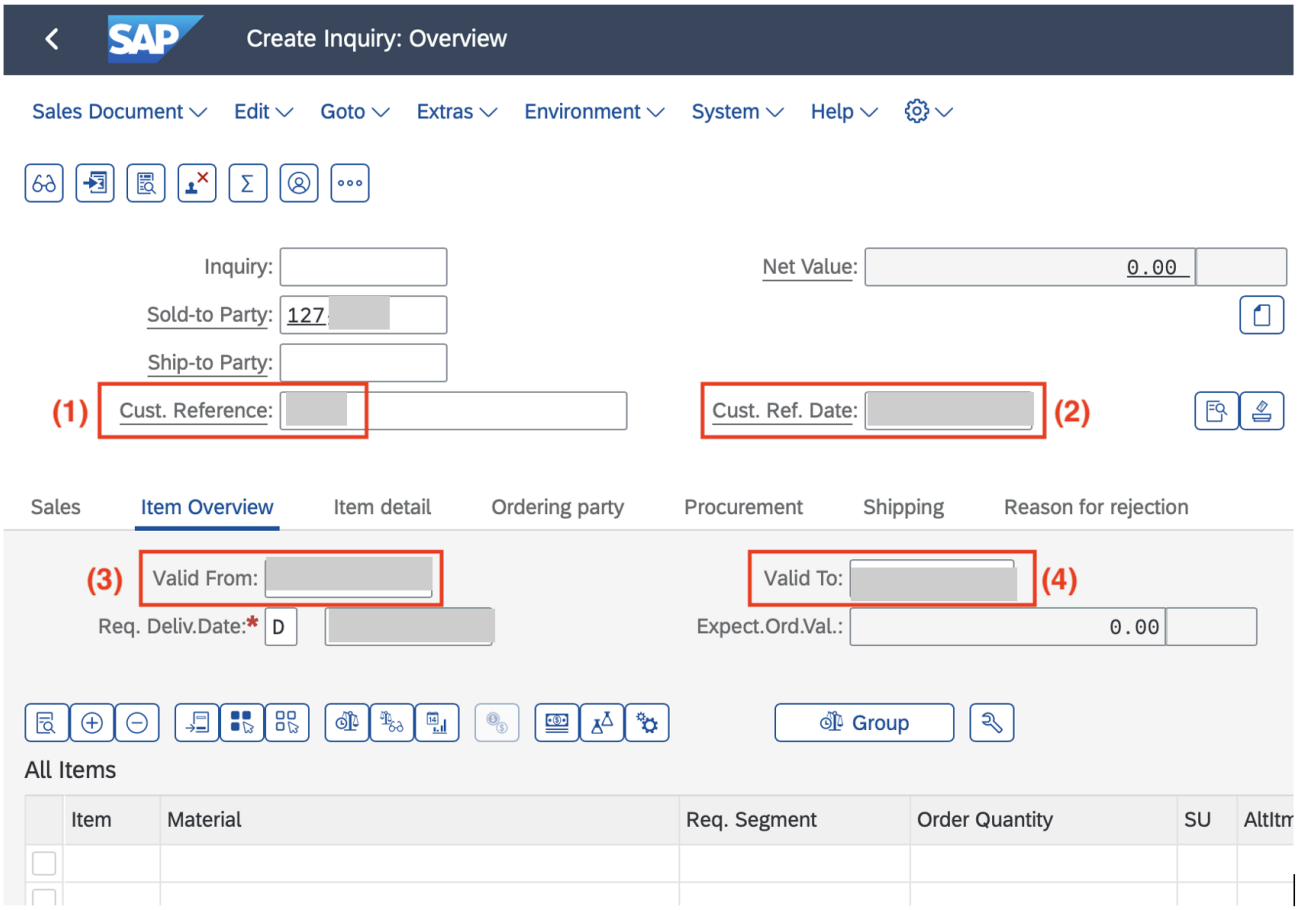
This will produce a list of customers for your number:



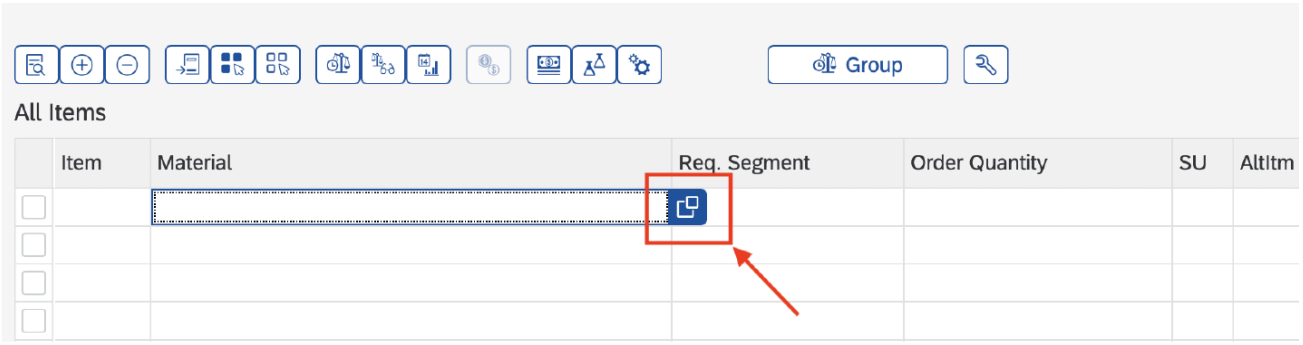
Double-click on **PHILLY BIKES** to select it.

Step 1.4

Back in the overview screen, enter **your 3-digit ID number** for Cust. Reference, **today** for the Customer Ref. Date, **today** for the Valid From date, and **one month from today** for the Valid To date as shown:

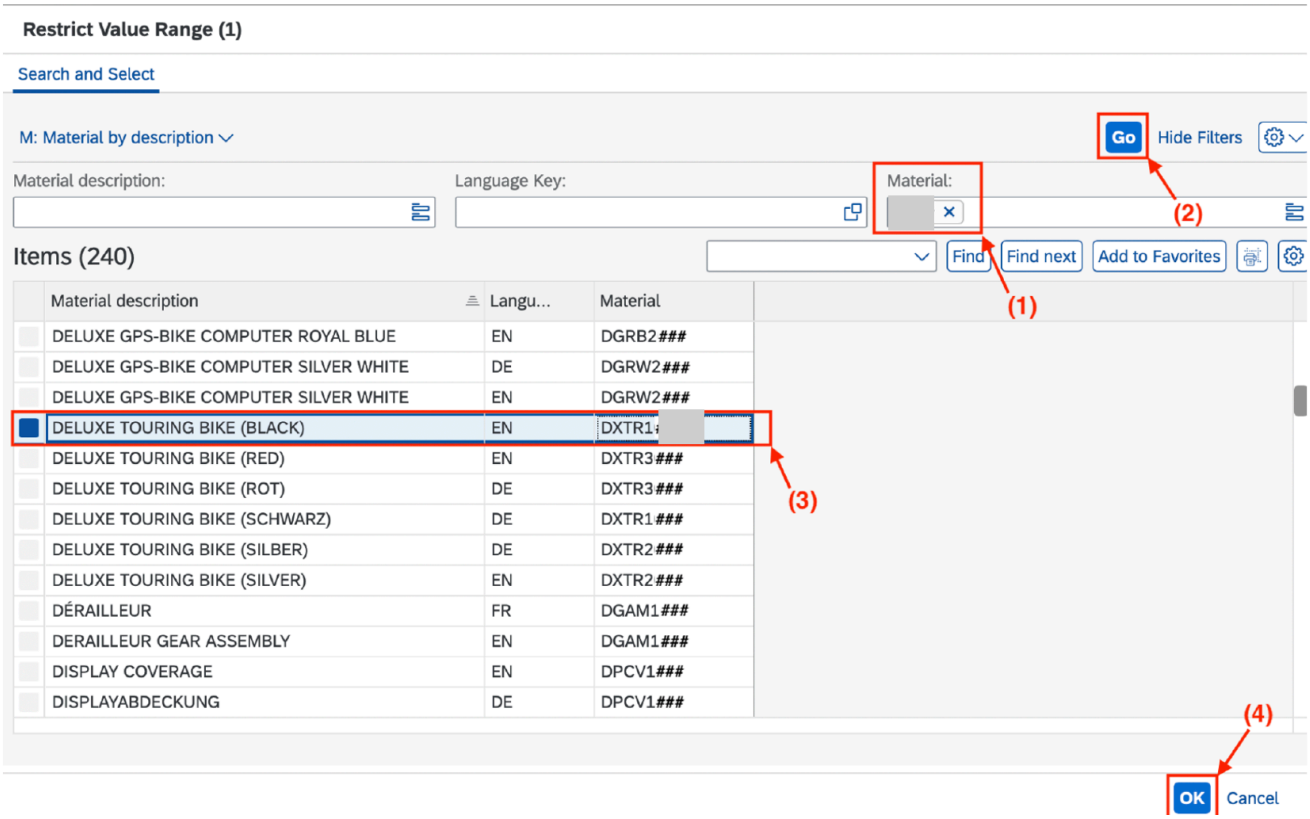


PHILLY BIKES wants prices on two products: the Deluxe Touring Bike (black) and the Professional Touring Bike (black). To find these products, you need to use the search function. Click on the Material field, then click on the search icon.



Step 1.5

Once you click on the icon, you will see a pop-up, that says '**Restricted Value Range (1)**' as shown in screenshot 1.7. Look at the screenshot below and follow the numbers to enter * before your 3 digit SAP ID) in the '**Material**' field, and click on **Go**.



Step 1.6

The search will produce the list of materials. You will need to select the following materials.

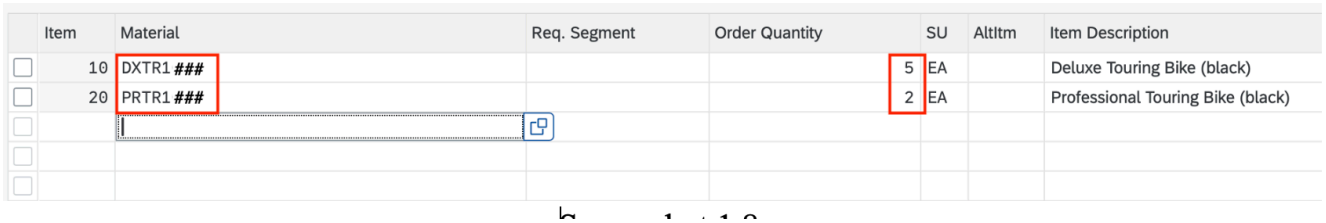
DELUX TOURING BIKE (BLACK) - DXTR1 and your three-digit number

PROFESSIONAL TOURING BIKE (BLACK) - PRTR1 and your three-digit number

The search will only allow you to select one material, so **you will have to repeat the same method to add the second product**. Then add the quantities for both the materials.

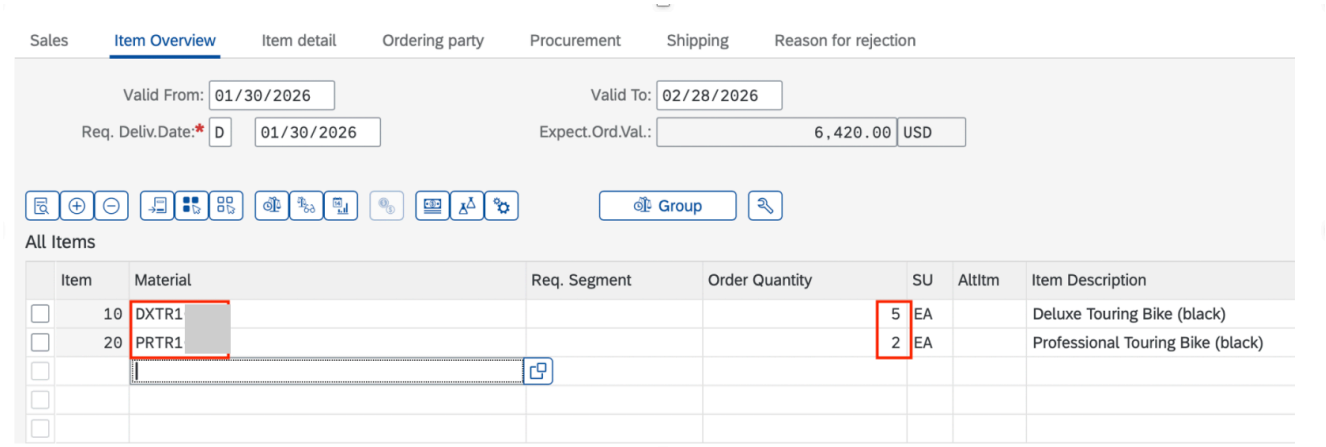
Step 1.7

The order quantity will depend on what your customer has requested. In this case the customer order **5** Deluxe bikes and **2** Professional bikes. Put 5 for DXTR and put 2 for PRTR in Order Quantity. The net value is $21,400.00



	Item	Material	Req. Segment	Order Quantity	SU	AltItm	Item Description
☐	10	DXTR1###		5	EA		Deluxe Touring Bike (black)
☐	20	PRTR1###		2	EA		Professional Touring Bike (black)

Step 1.8

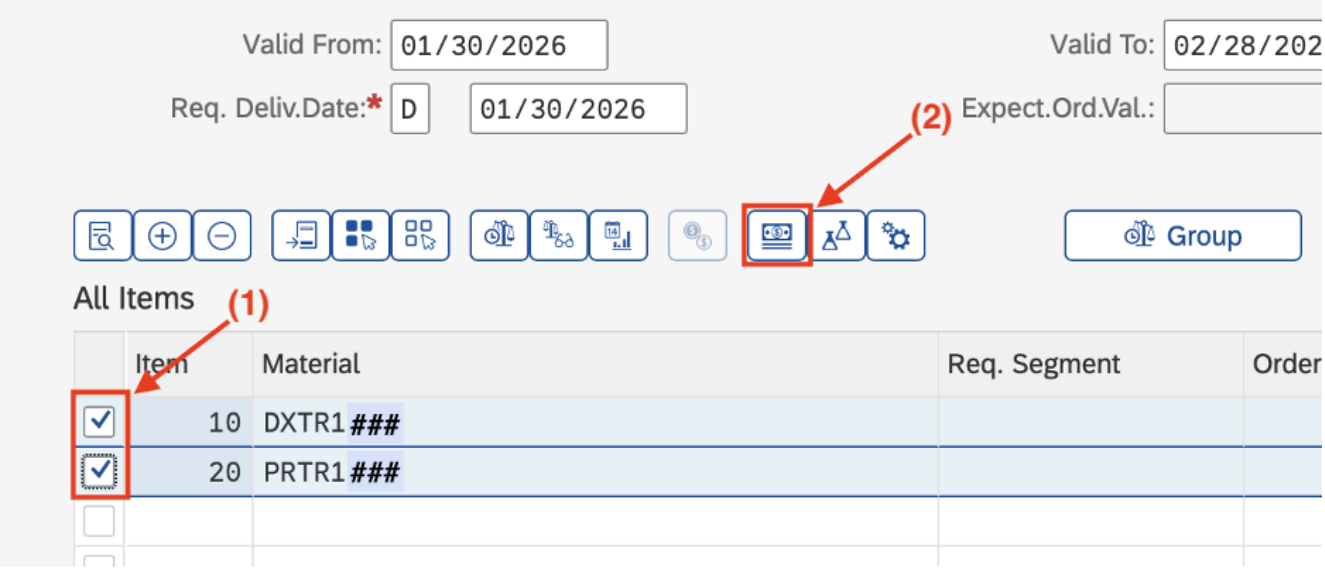


	Item	Material	Req. Segment	Order Quantity	SU	AltItm	Item Description
☐	10	DXTR1		5	EA		Deluxe Touring Bike (black)
☐	20	PRTR1		2	EA		Professional Touring Bike (black)

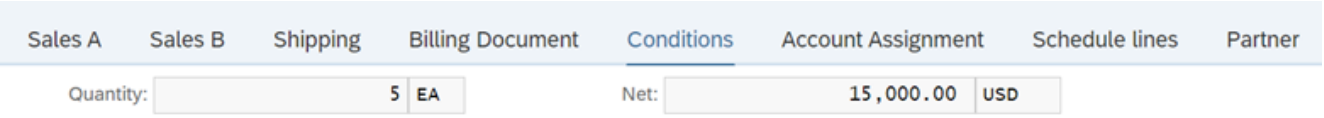
Check and make sure your screen looks the same. The total price for these 7 bikes to Philly Bikes is 21,400 (shown above as net value.) The Expect.ord.val (6,420) is a calculated value which takes the net value of the order and multiplies it by the probability of having an inquiry from this customer turn into an actual order.

Step 1.9

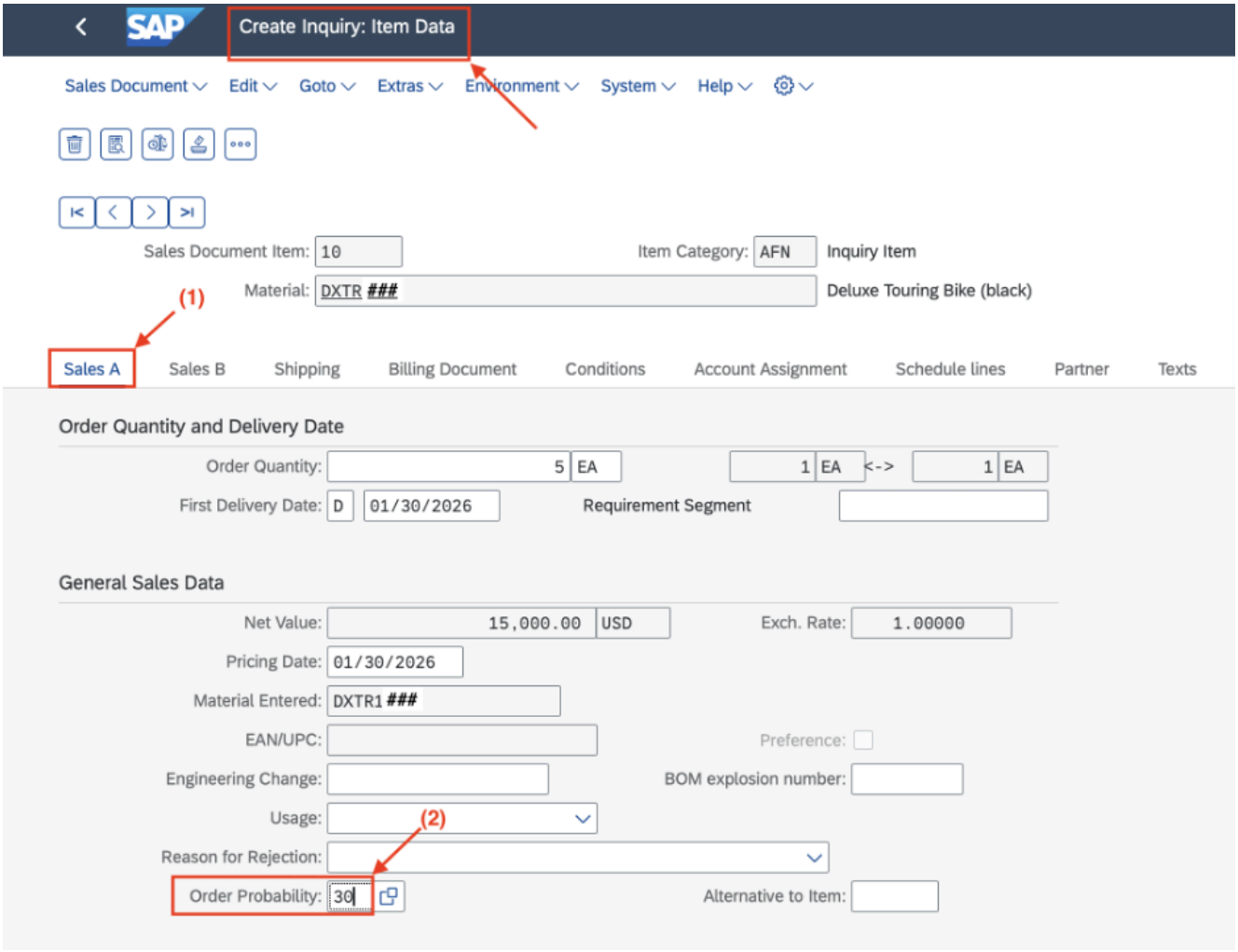
Next select both the materials in the two rows, by clicking on the square boxes on the left column. Then click on the dollar icon on the list of the menu. Refer to the picture below, and follow the numbers.



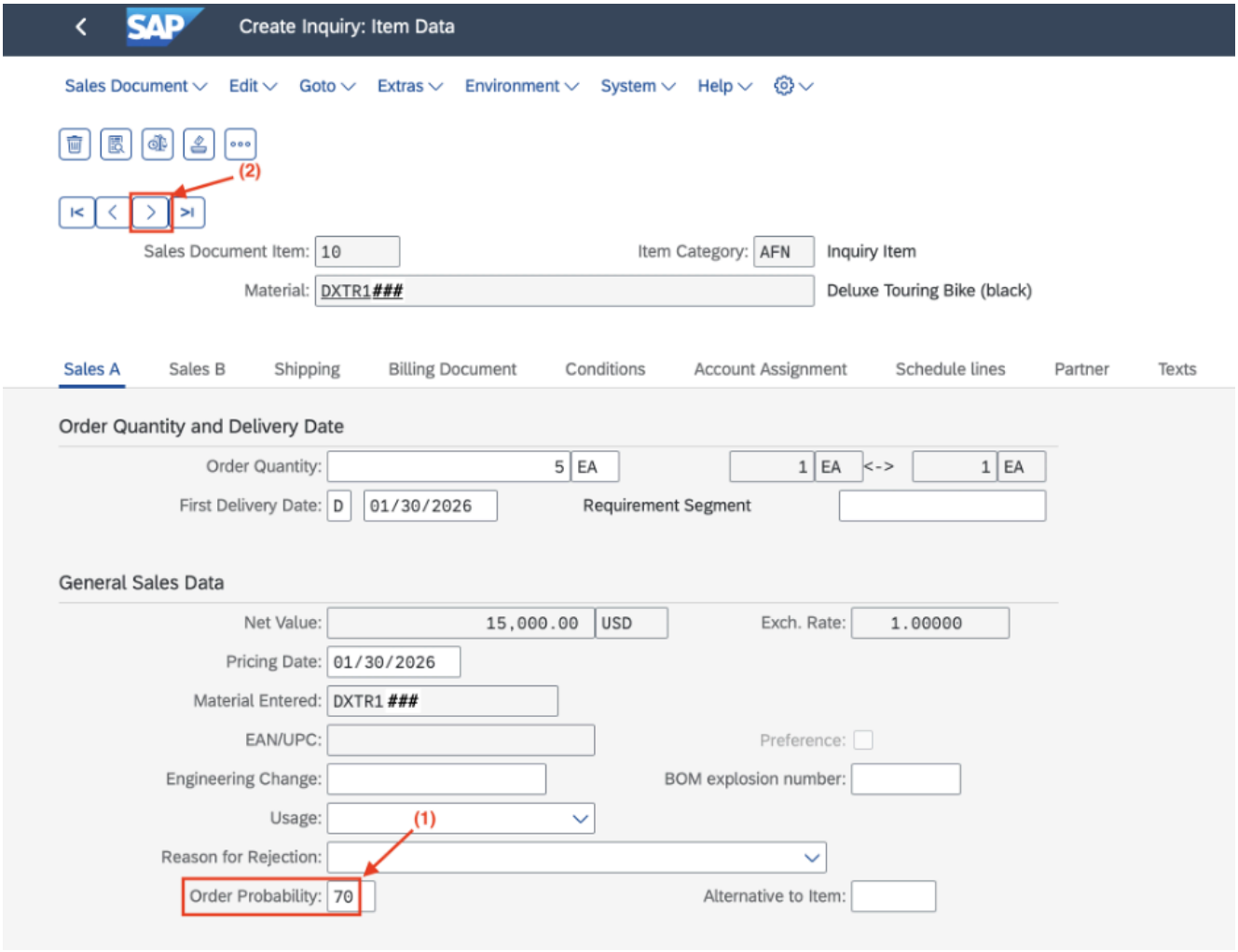
This brings up the Item Data page. Scroll up to see a line of tabs like this:



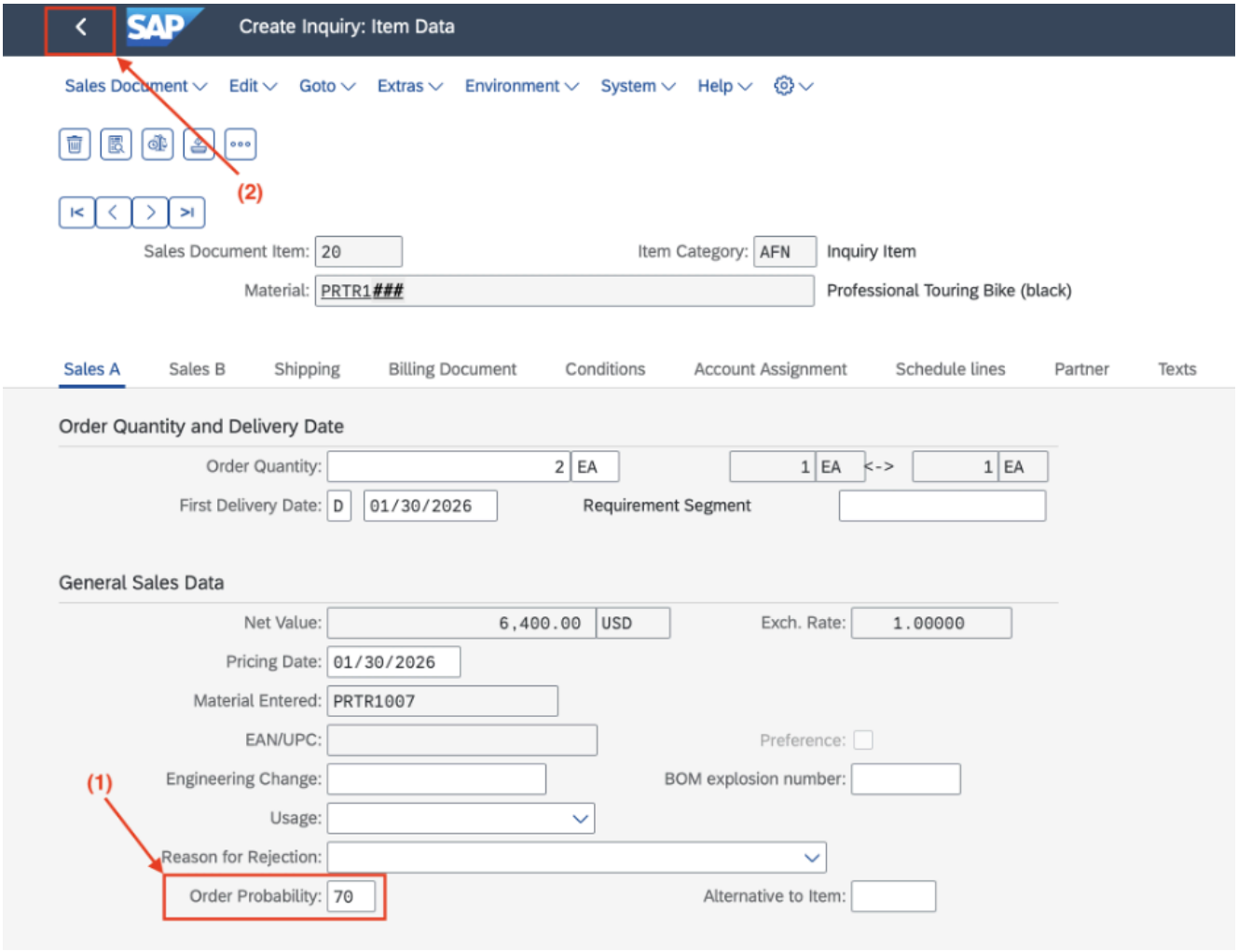
Then, choose the leftmost tab: **Sales A**. This will take you to the following screen:



An order probability of 30 means that the expected order value is then 30% x 21,400 = 6,420. You can change the probability for each item on an inquiry based on your estimates of an eventual sale. In this case, you are confident, so change the Order Probability (1) to 70. Advance to the next item (Professional Touring Bicycle), by clicking on the forward arrow, above (2). Again change the Order Probabilities to 70%. And then, to recalculate the expected order value, click on the back button next to the SAP logo (3).



After you follow the instructions and successfully update the probability of the 2nd material your screen should look like below:



Click on **Save** to save the inquiry. The SAP system will assign a unique number to the inquiry. Write this number down so that you can check it in Step 2.4 below.

Click on the **Exit** to return to the SAP Easy Access screen.

2: Create Customer Quotation

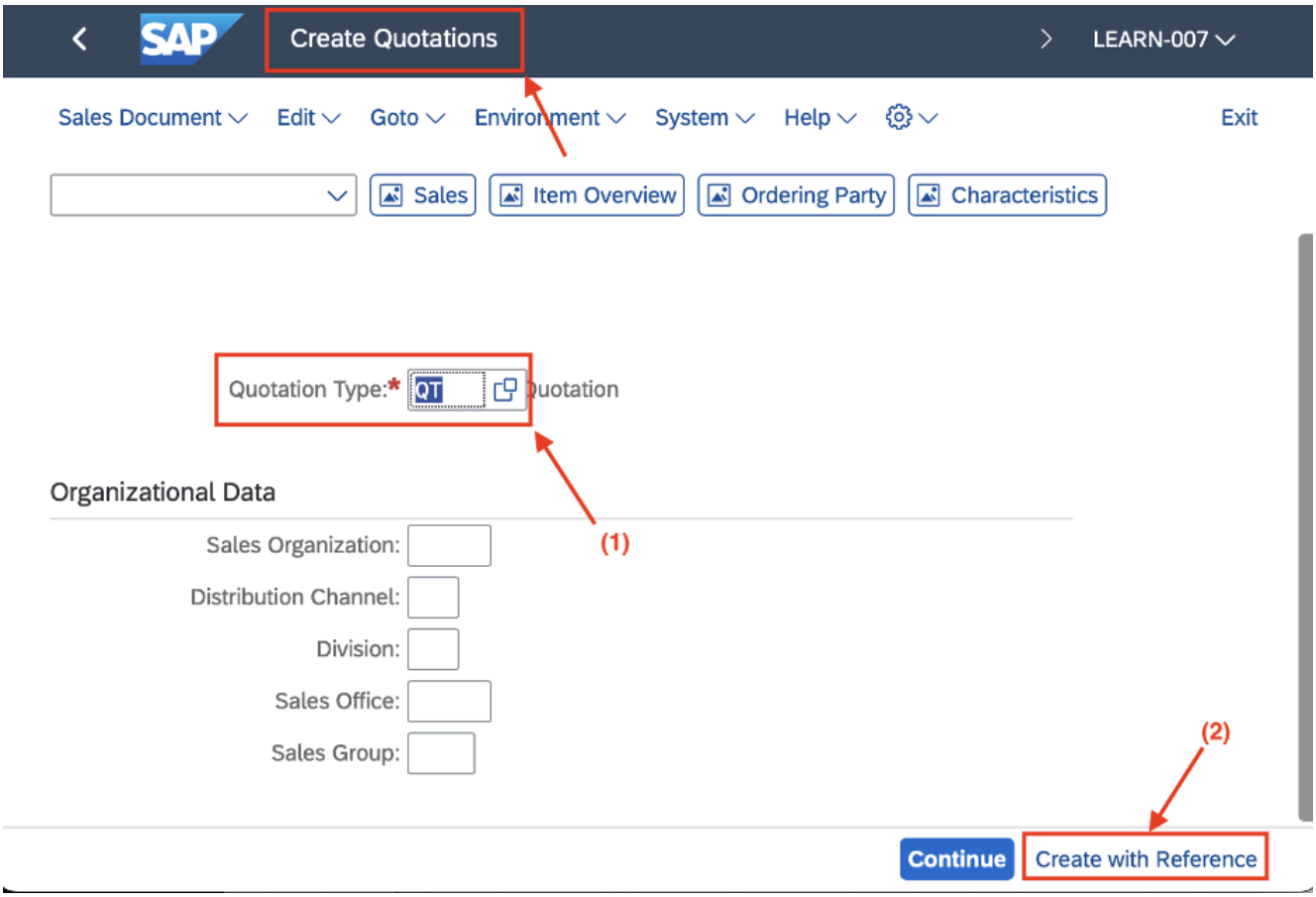
Step 2.1

An inquiry presents the terms (price, delivery schedule) to a customer considering a purchase. A quotation is similar, except that it is a legally binding offer for delivering the requested product or services.

Philly Bikes would like a firm quote for the items in the inquiry created before. You can do this easily by copying the details from the inquiry into the new quotation. To do this, follow the menu path:

SAP Menu ▶ Logistics ▶ Sales and Distribution ▶ Sales ▶ Quotation ▶ Create

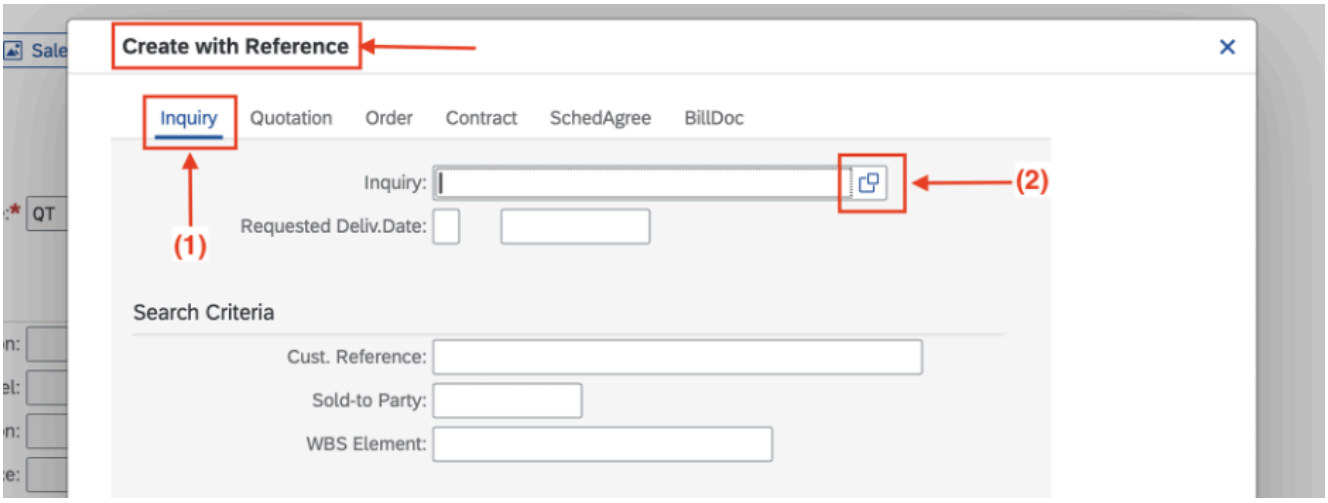
This will produce the following screen:



Enter **QT** for Quotation Type, then click on **Create with Reference**.

Step 2.2

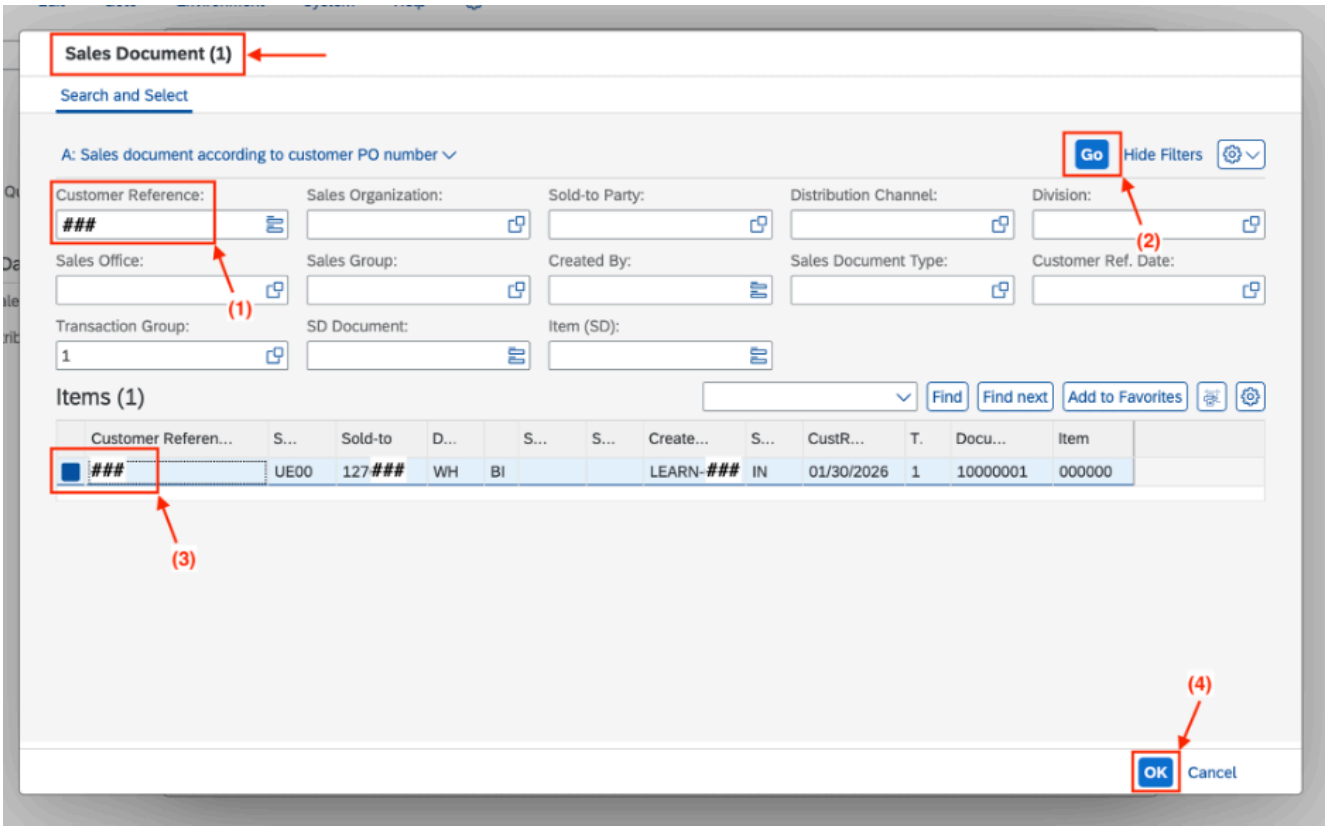
This will produce the following dialog:



Make sure the *Inquiry* tab is selected, click on the Inquiry field, then on the search icon.

Step 2.3

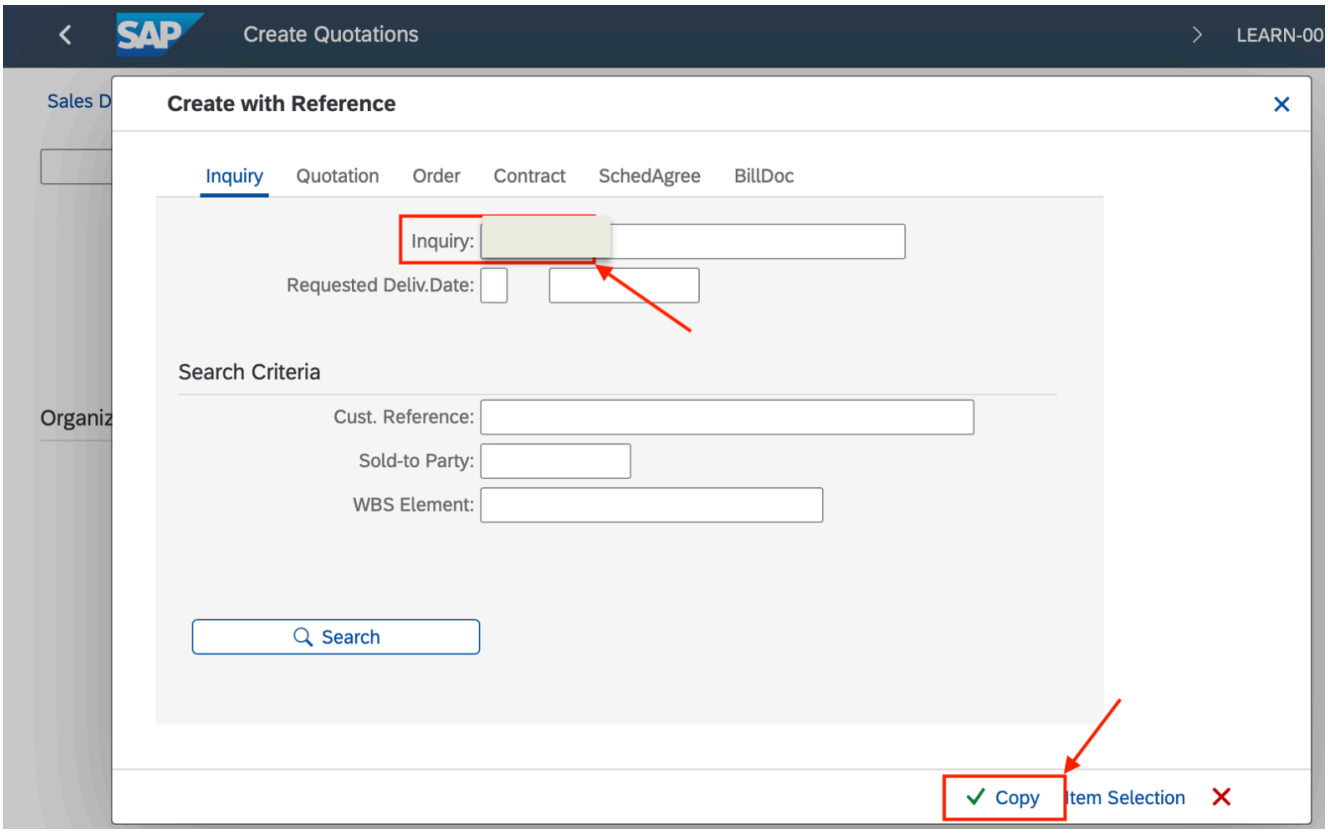
This will produce the following search dialog:



Make sure **Sales Document (1) is selected.** In this screen add your 3-digit SAP ID number and then click on '**Go'** button. Select the line-item that will have your 3-digit number in the customer reference column and click on **OK**.

Step 2.4

This will produce a list with the inquiry for your customer:

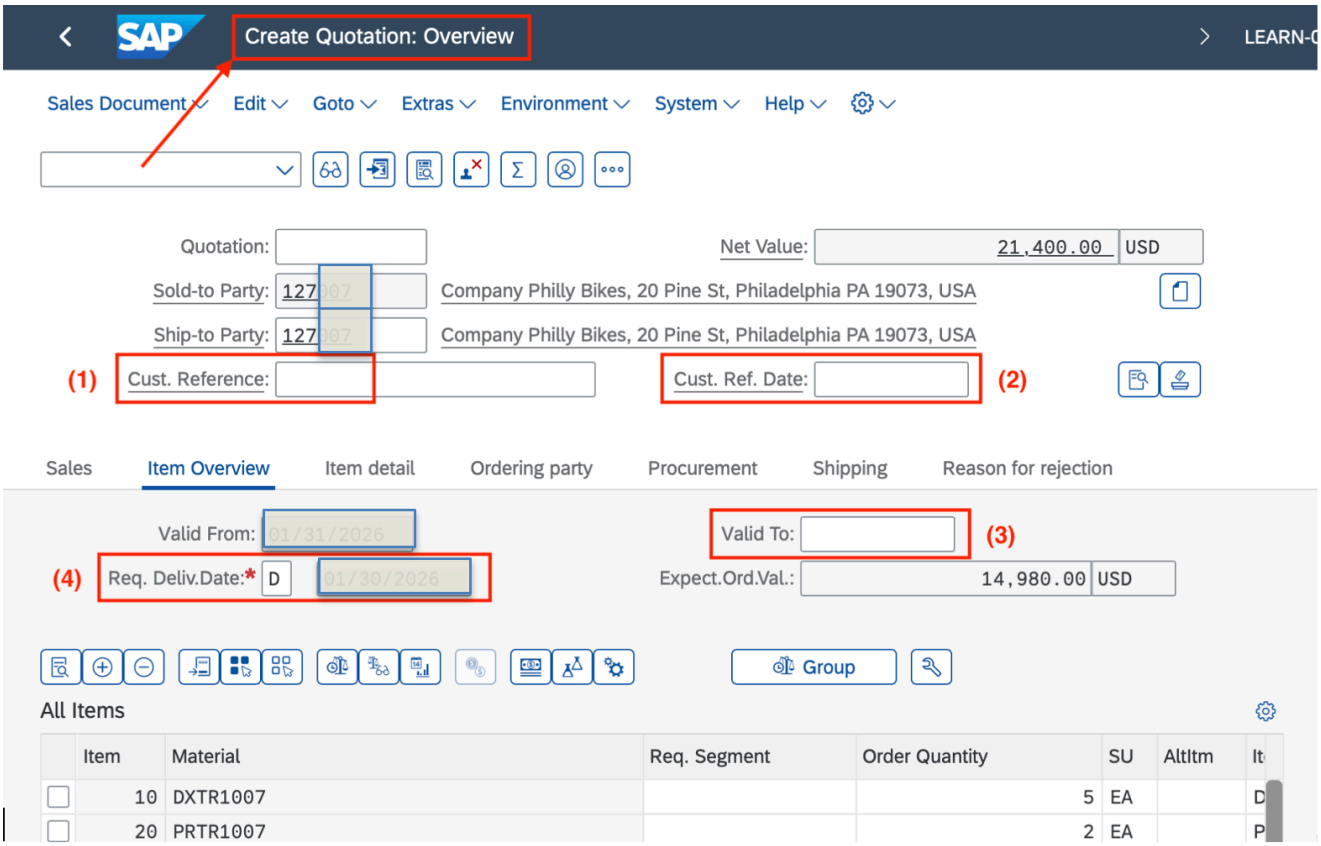


The inquiry number gets updated on the screen, click on '✓ **Copy**' button and you'll move to the next screen.

(Verify that this is the **same inquiry number that you wrote down** in Step 1.9)

Step 2.5

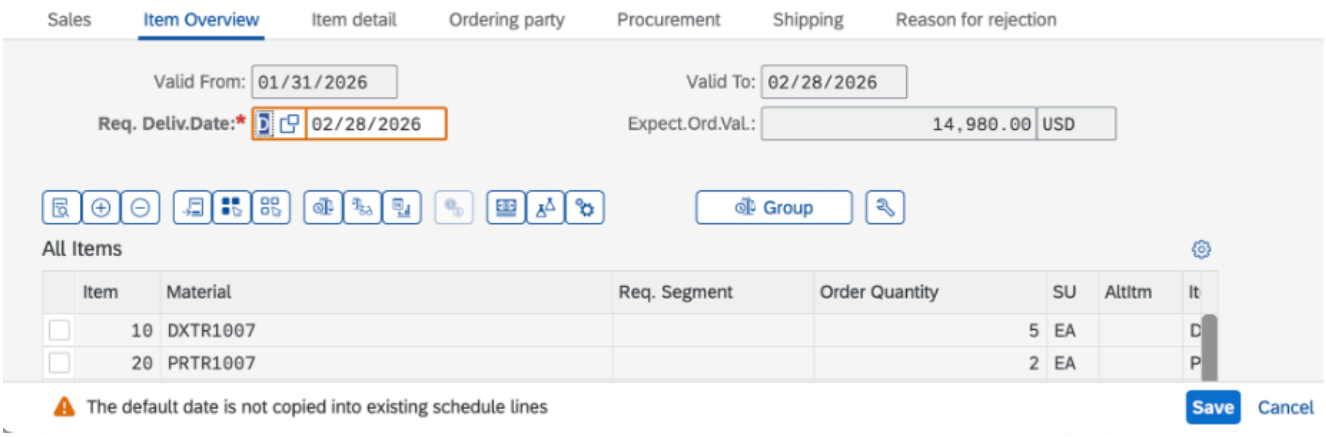
The next screen will show '**Create Quotation: Overview**' on the top left corner. The quotation tab has all the information from the inquiry document copied.



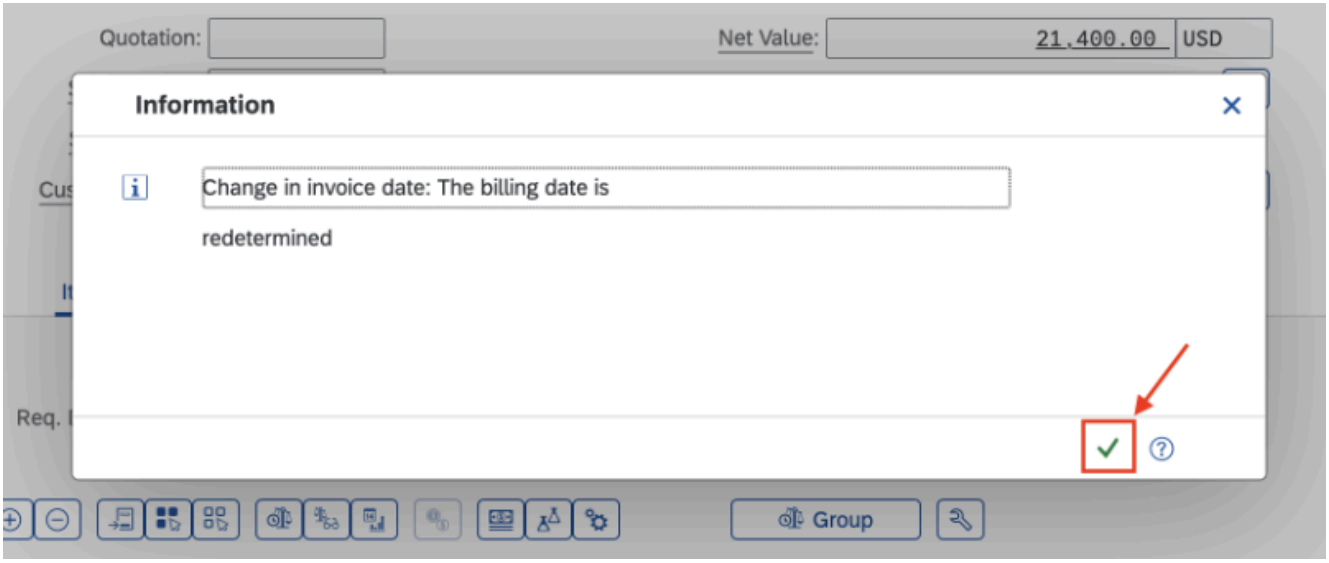
Enter **your 3-digit ID number** as Cust. Reference again, **today** for the Cust. Ref. Date, a date **one month from today** for the Valid To date, and a date **one month from today** for the Req. Deliv.Date.

Step 2.6

Then click the Enter key, which may produce the following warning.



Click **ENTER** to acknowledge the warning. This will produce an information message like this:

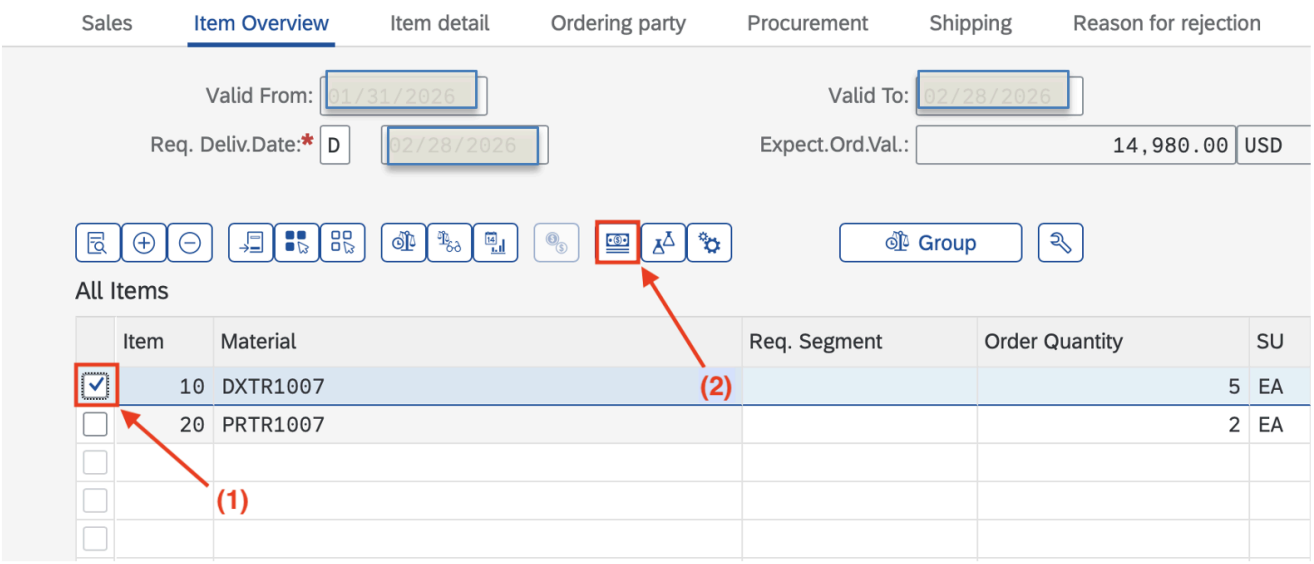


Click '✓' to acknowledge this information.

Step 2.7: **Pricing and Discounts**

To encourage Philly Bikes to become a loyal customer, you have been authorized to give a $50.00 discount on each Deluxe Touring bike, as well as a 5% discount on the entire order.

To add the $50.00, select the Deluxe Touring bike item (1), then click Item conditions (2).

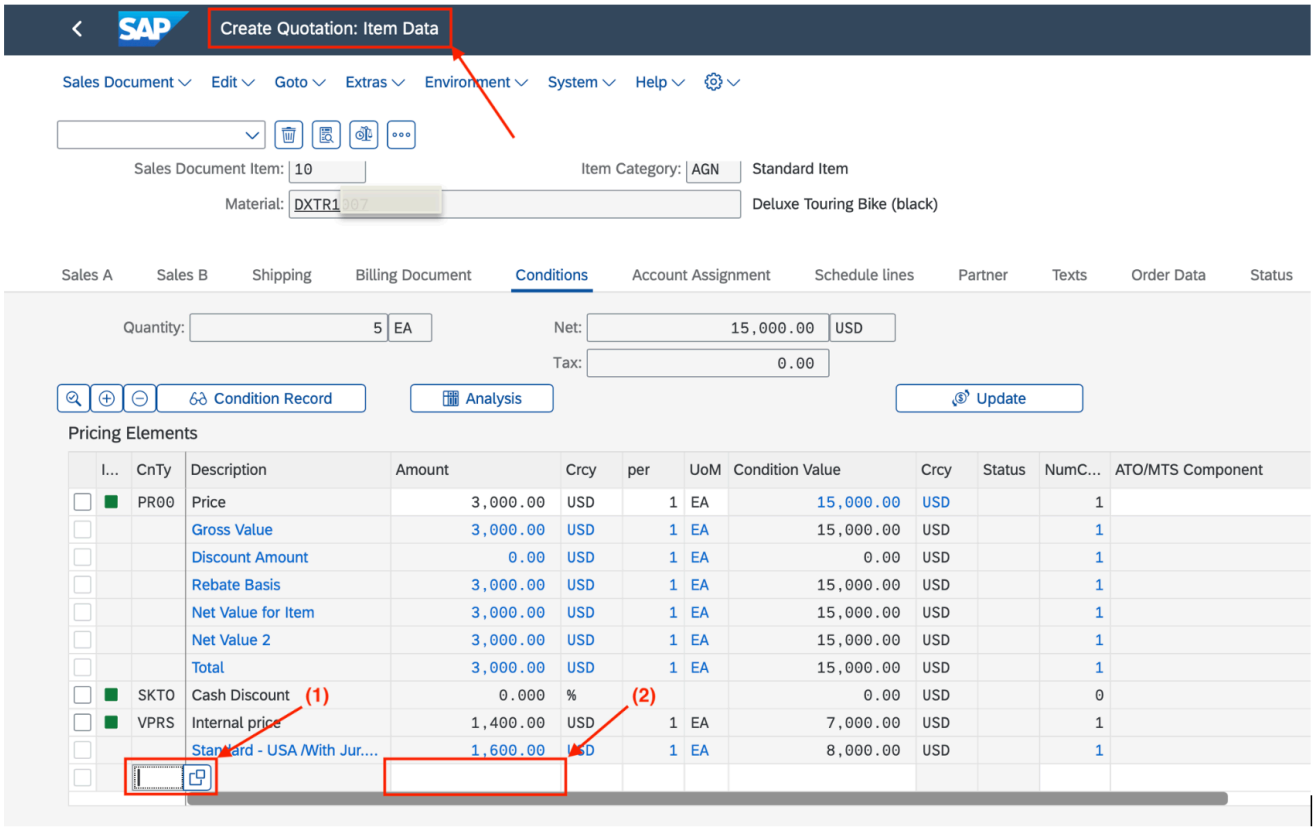


You will get a screen that shows the pricing details for your Deluxe Touring Bike:

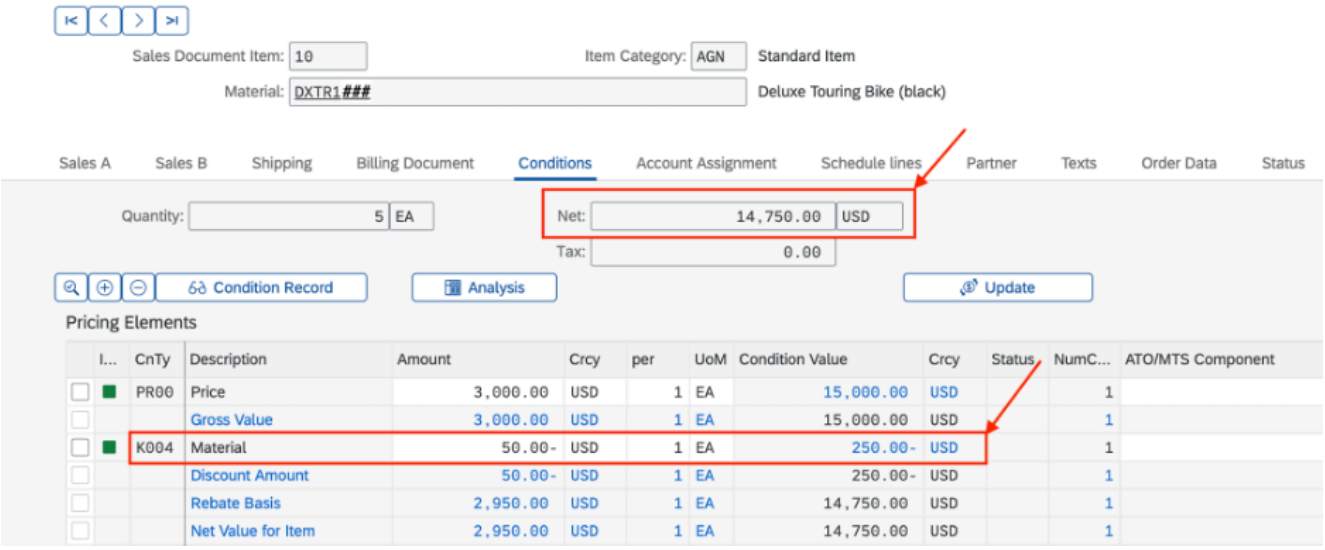
Step 2.8

In SAP, pricing is done using conditions. The pricing procedure defines which condition types are to be used to calculate the final price.

To add a discount, we can add condition type **K004** (material discount) with an amount of **50** to the pricing procedure.



After clicking enter, a new price for the 5 Deluxe Touring bikes will be calculated.

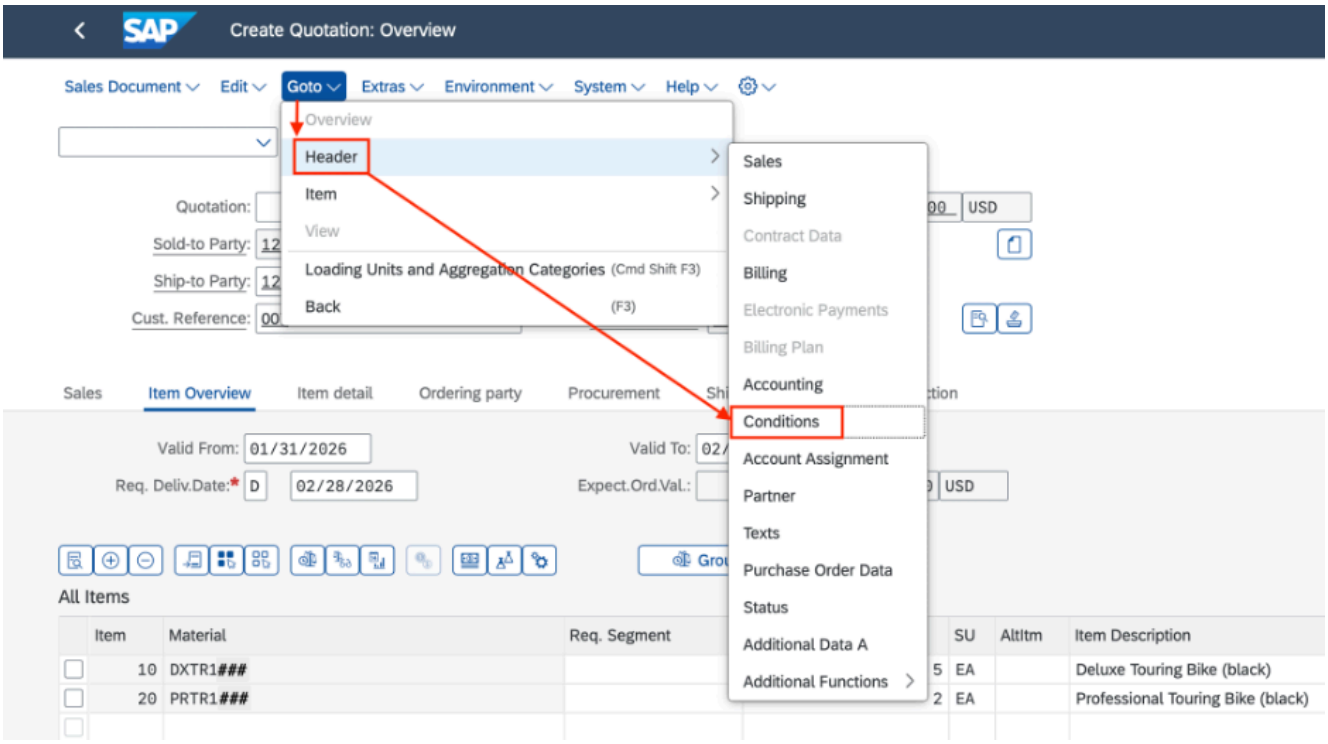


Note that the discount is now applied to the order. Click on the back icon (just left of the SAP logo) to return to the main quotation screen.

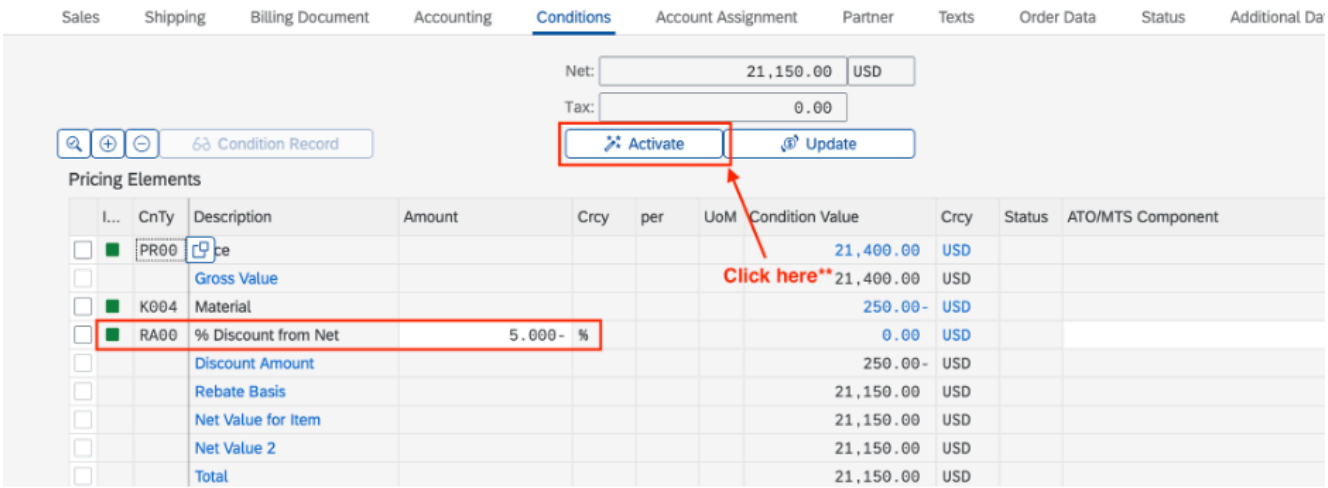
Step 2.9

To apply a 5% discount to the entire order, follow the pull-down menu path:

More ► Goto ► Header ► Conditions



In the Create Quotation: Header Data page, apply the 5% discount, by entering under CnTy (condition type) **RA00** (Net Discount) with an amount of **5** as shown:



Now, click Enter. Notice that the price does not yet include the 5% discount.

To include the 5% discount, click on the activate icon:



The 5% discount is now applied.

Click **Save** to save the new quotation, pat attention to a notification at the bottom mentioning your new quotation document with a number.



Click **Exit** to return to the SAP Easy Access screen.

3: Create Sales Order

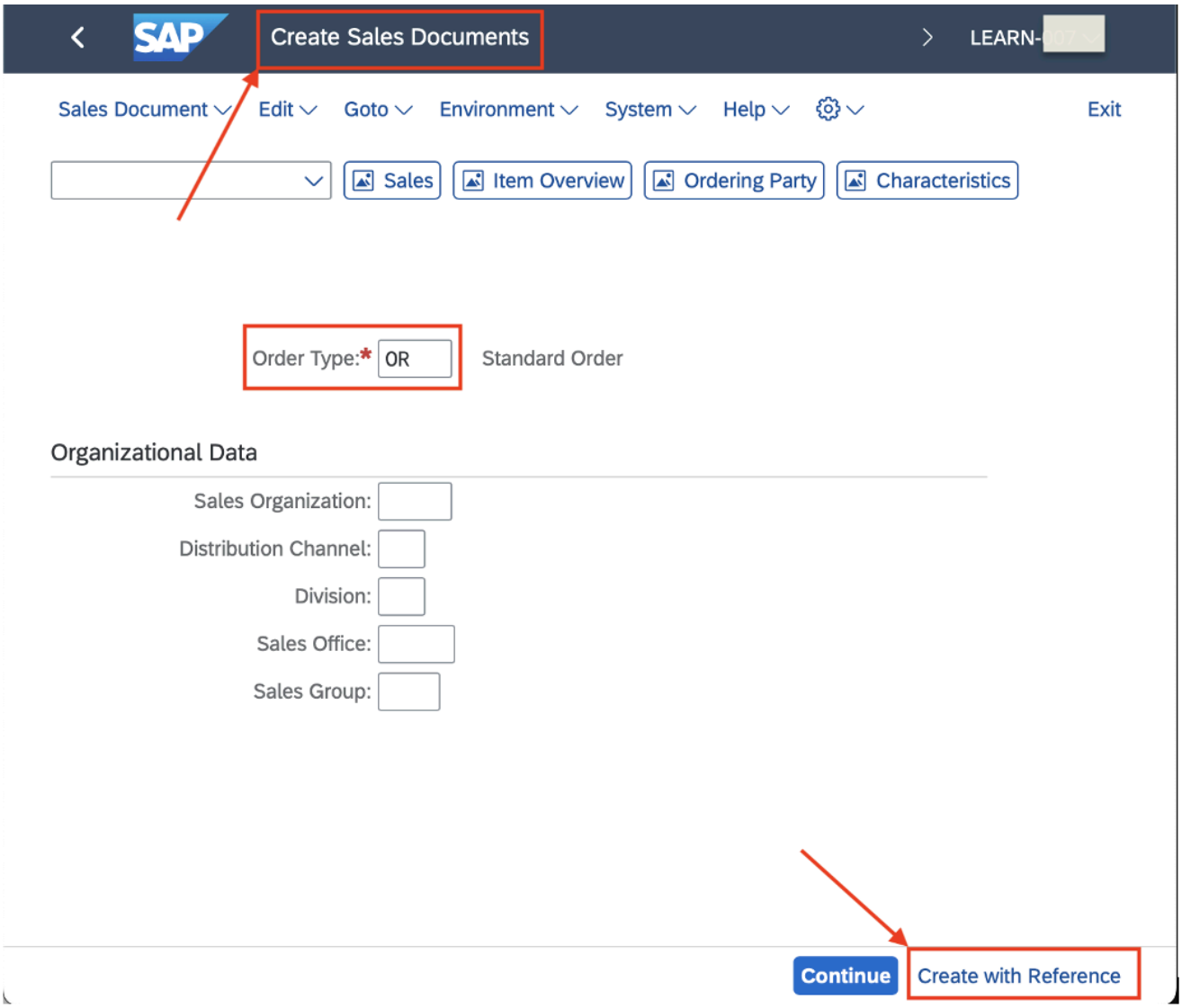
Philly Bikes has agreed to the terms and conditions in the quotation and wants to order the bikes in the quotation. As a result, we can simplify the order creation process by copying the quotation into a sales order.

Step 3.1

To create a sales order, follow the menu path:

SAP Menu ► Logistics ► Sales and Distribution ► Sales ► Order ► Create

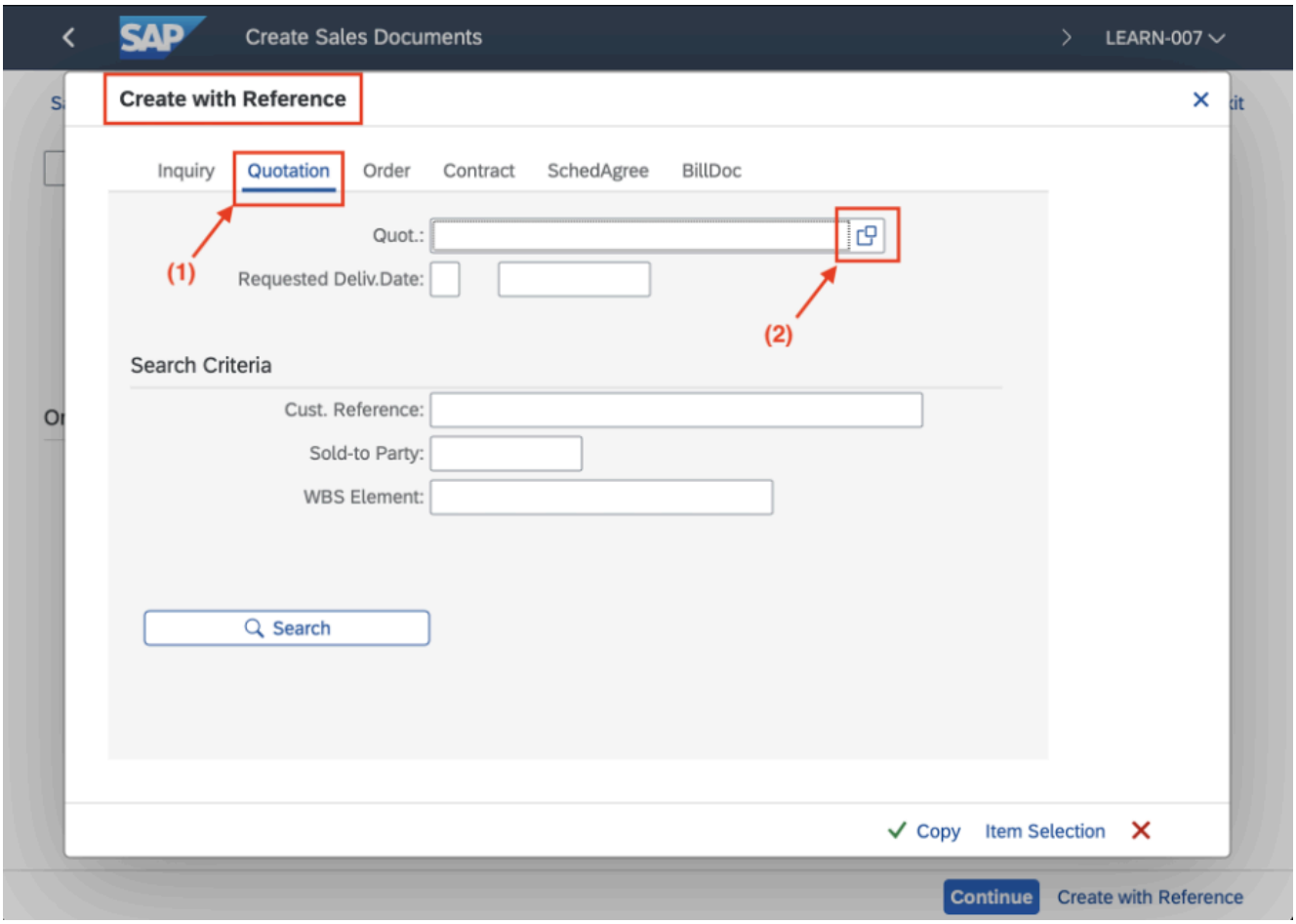
This will produce the following screen:



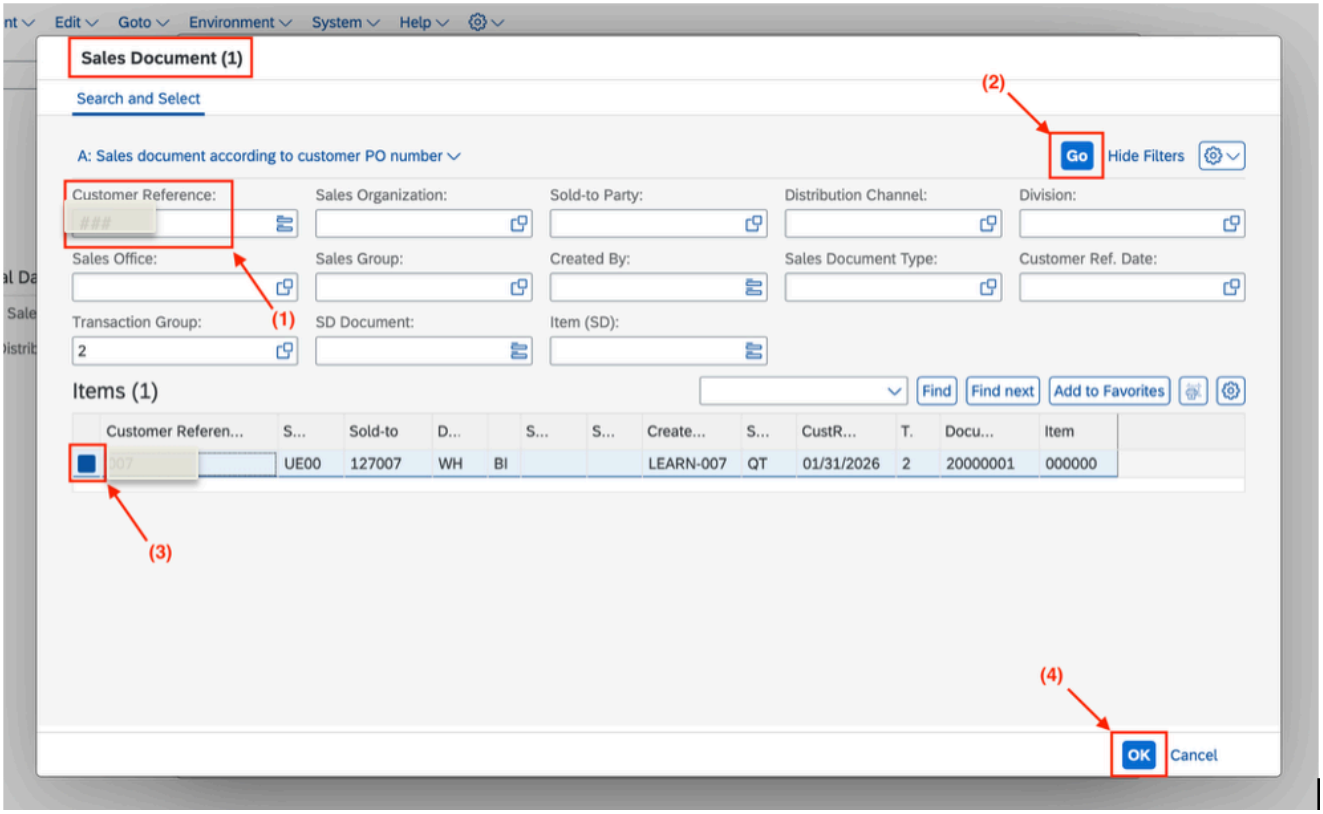
Enter **OR** for the Order Type. Leave the other fields blank. Click on **Create with Reference**.

Step 3.2

This will produce the following dialog:

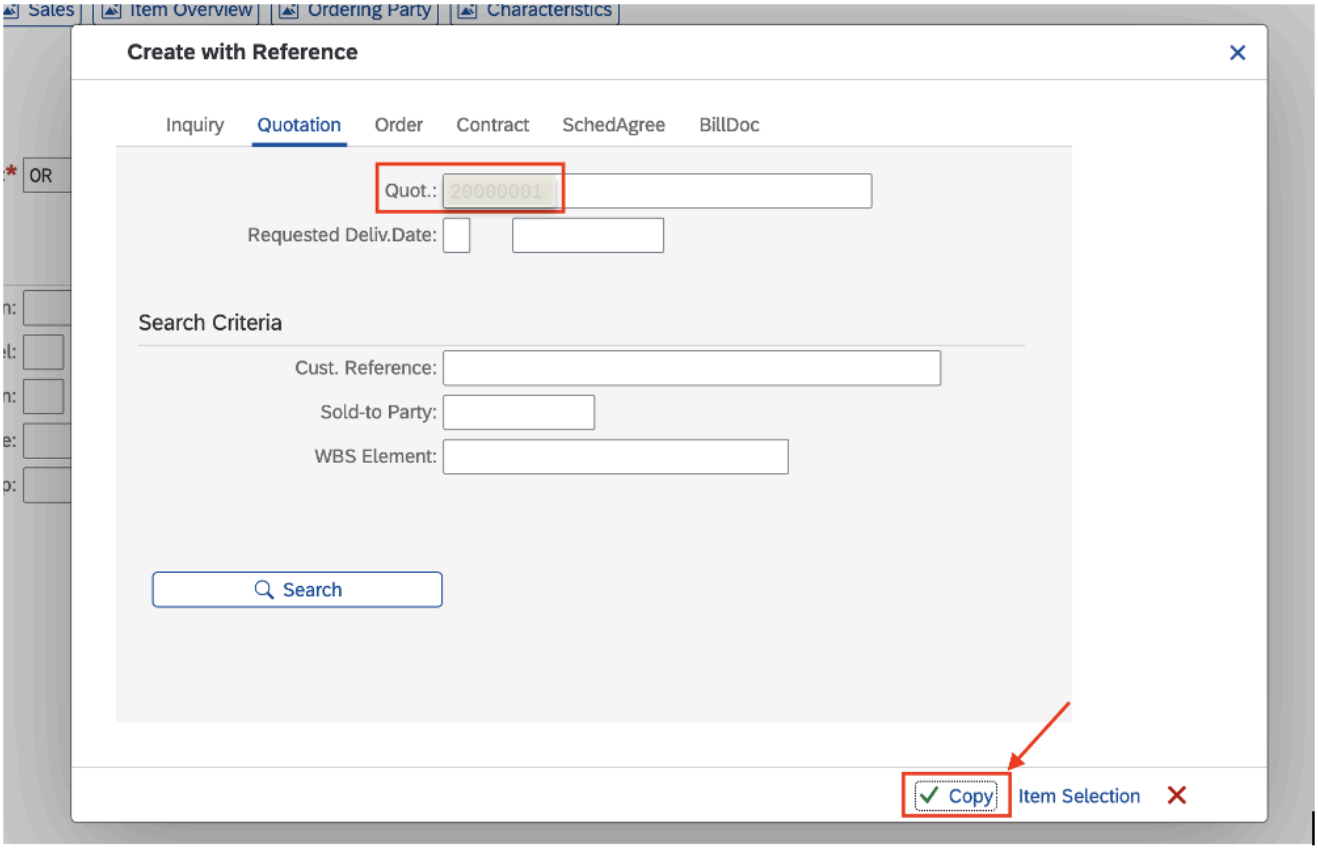


The new pop-up screen should have the title '**Sales Document (1)**' now enter your **3 digit SAP ID** number in the Customer Reference field, and click on '**Go**' button. And that will populate the line-item with your quotation number from the previous step. Select the line-item by clicking on it and then click on the '**OK**' button at the right corner of the pop-up.



Step 3.3

Once your quotation is selected, your document number will populate on the screen, now click on '✓ **Copy**' on the right bottom corner as shown below:

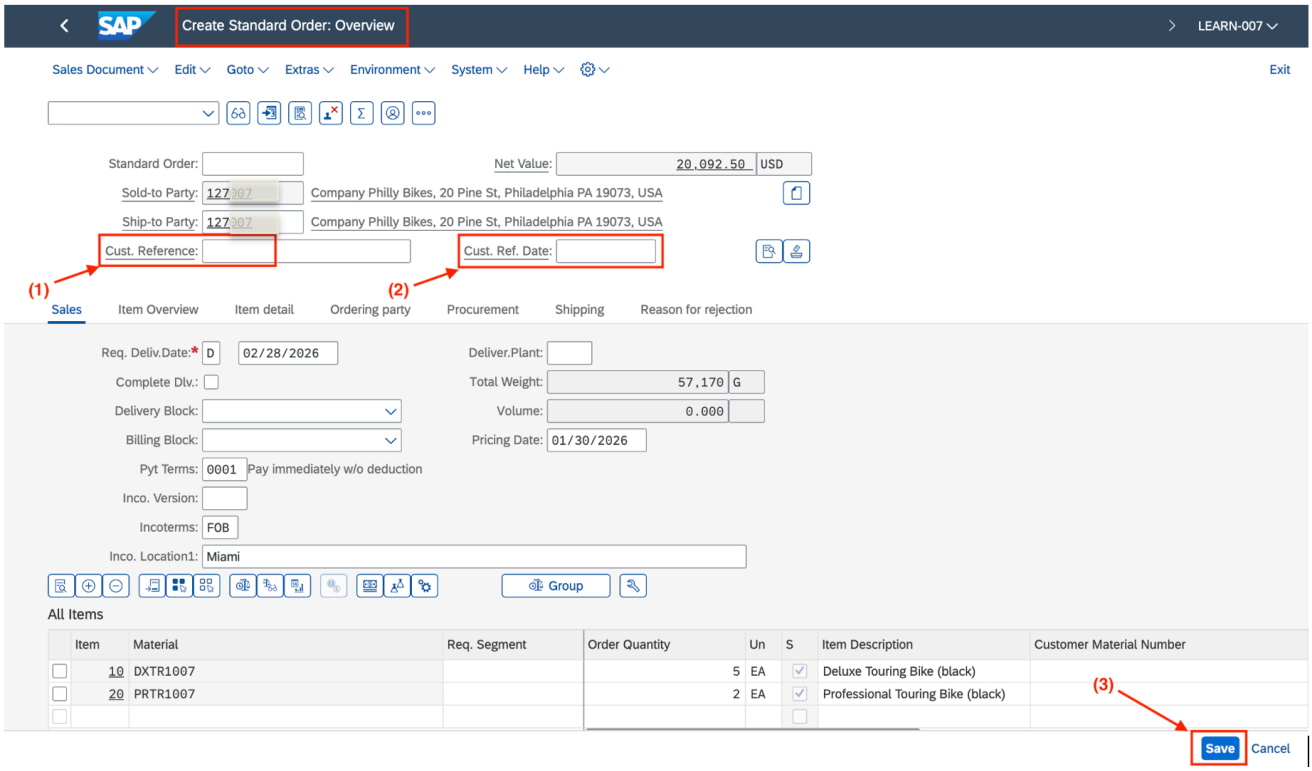


Step 3.4

This will open a new screen called '**Create Standard Order: Overview**' as shown below. All the information on this page are copied directly from your quotation:

Enter **your 3-digit ID number** for Cust. Reference and today's date (F4, then Enter) for the Cust. Ref. Date.

Note that the Req.deliv.date is copied from the quotation.



You will see a notification pop-up at the left bottom corner that will confirm your order has been saved, and it will give your order number, please make a note of it for future reference.



To complete the exercise, **enter this number in the submission box below** and click on **Exit** to return to the SAP Easy Access screen.

Points 20

Submitting a text entry box

Due	For	Available from	Until
Oct 16	Everyone	-	-

Sales Order Rubric

Preview Rubric

Enable self assessment